

The Stake of the Founder

We've analysed founder stakes across different stages of company growth, from those that have yet to secure equity funding to those that have raised £100m+.

Cookiebot
by Usercentrics

Consent

Details

About

This website uses cookies

🍪 We use **cookies** to enhance your Beauhurst browsing experience. You can allow them all or manage them individually — it's completely up to you.

Customise >

Allow all

journey, the more diluted a founder's equity stake typically is. Whilst the influx of capital helps to accelerate startups' growth, this process also reduces founder control.



The Stake of the Founder

Analysing founder stakes across different stages of company growth

Beauhurst

In this free report, you'll discover trends in the average founder stakes by:

Company stage and lifecycle

Number of equity funding rounds secured

Value of equity investments secured

Gender of founding teams

Here’s a sneak-peak inside

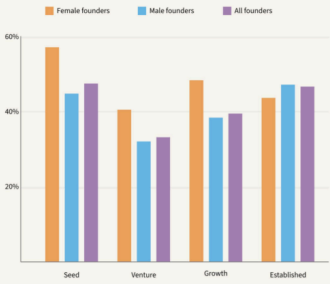
Founders of venture-stage businesses have the smallest stakes

Overall, the stake of high-growth UK founders is greatest at the seed and established stages. For seed startups, whose funding typically stems from grants, angels and the crowd, founders own an average of 48% of shareholdings. Average founder stake is 33% for companies at the venture stage, 40% at growth stage, and 47% at established stage.

Venture-stage businesses see the lowest average founder stakes for both men and women. This class of company's most common investor type is venture capital firms. Later stage companies may be more likely to look to alternative means of finance, such as debt.

Male founder stakes follow the same trend as overall figures. Whereas, female founder stakes differ slightly, with women owning a greater average stake at growth stage (48%) than established stage (44%).

FOUNDER STAKES BY CURRENT STAGE OF EVOLUTION



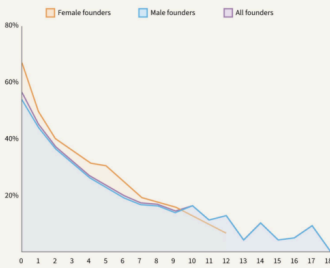
Average founder stakes remain above 25% until the fifth funding round

Despite fluctuations towards the later equity rounds (due to a relatively small sample size), the relationship between equity investment and founder stakes is clear: as companies secure more funding rounds, founder stakes decrease.

The average shareholdings owned by founders fall from a high of 57% for those that are yet to secure equity, to a low of 0.7% at 18 rounds. But up until the fifth funding round, average founder stakes remain above 25%.

The decrease in average stakes at each equity round is most dramatic at the start, falling 20 percentage points between rounds 0 and 2, versus 10 percentage points between rounds 2 and 4. This may reflect growing average valuations as companies progress—as valuations become higher, investors may buy smaller stakes in the business, thus reducing founder dilution. Another aspect is that investors like to leave founders with a reasonable sized stake to keep them incentivised

FOUNDER STAKES BY NUMBER OF FUNDING ROUNDS SECURED



This website uses cookies

🍪 We use **cookies** to enhance your Beauhurst browsing experience. You can allow them all or manage them individually — it's completely up to you.



BOOK a 40 minute demo today to see all of the key features, as well as the depth and breadth of data available on the Beauhurst platform.

An associate will work with you to build a sophisticated search, returning a dynamic list of organisations matching your ideal client profile.

Your organisation*

Your business phone number*

How are you looking to use Beauhurst?

We will use your information to keep you informed about our research and products. You may unsubscribe at any time using the links at the bottom of our emails. For more information, see our [Privacy Notice](#).

Book a Demo



This website uses cookies

🍪 We use **cookies** to enhance your Beauhurst browsing experience. You can allow them all or manage them individually — it's completely up to you.

